



A TIME OF UNCERTAINTY AND OPPORTUNITY

A look at the key trends that will redefine how content will be created, distributed, and consumed

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130 | THE INDIAN MEDIA and entertainment (M&E) industry has seen rapid transformation over the past decade, driven by significant advances in technology, shifting consumer preferences, and the growing digital economy. But this is also a time of flux, uncertainty and of opportunity. It's an unprecedented time with digital infrastructure driving changes that will reshape the industry.

Digitisation, streaming, consolidation and regionalisation are key trends that will play a crucial role in redefining how content is created, distributed, and consumed.

1. Digitisation and Streaming

Digitisation has been the most transformative trend in the Indian media landscape, driven by the growth of the internet and mobile penetration. Over the past five years, India has seen an extraordinary surge in digital connectivity. Mobile internet has been the primary driver of this growth. From approximately 300 million

smartphone users in 2018, India has surpassed 700 million in 2023. Similarly, from 500 million internet users, six years ago, India has around 1 billion users today. Of these, 130 million are on 5G, projected to rise to 800 million by 2030 and close to 50 million connected TVs, rising to 100 million in five years. As connectivity improved, mobile penetration increased across urban and rural India. And as data prices dropped, data consumption doubled from 12 GB per capita per month to 24 GB today.

All of these factors combined led to India's OTT sector growing at close to 20%, with over 80% consumption coming from video streaming.

The changes have been rapid—at first, around the world streaming companies raced to add users—monthly active users (MAUs), daily active users (DAUs) and monthly subscriber additions became the measure of success and the basis of valuation. More recently, a concern about the bottom line saw the focus shift to managing user additions with an eye on profitability.

This focus has led to momentum on three themes that are likely to gather pace further.

AVOD (Advertising-based Video on Demand): As monetisation of users beyond the top tier gets difficult, almost every OTT player is examining ways to increase reach and drive advertising revenue. An area that OTTs in the stable of a broadcaster understand well, advertising revenue

can be generated using the existing infrastructure and the client base of a broadcaster.

PARTNERSHIPS: As the search for larger audiences intensifies, partnerships and alliances with telcos, social media apps, gaming companies, e-commerce and social commerce companies are likely to become commonplace.

LIVE and APPOINTMENT TV: The desire to differentiate and drive audiences to a specific place at a specific time will likely drive platforms to acquire rights to live events and sports. The practice of releasing episodes of popular shows on a periodic basis rather than all at once is likely to become more widely adopted.

2. Consolidation

Consolidation has played a key role in shaping the Indian M&E industry across various segments. Over the past few years, large players have acquired smaller competitors to strengthen their market position, diversify their content offerings, and meet the growing demands of a digital-first audience.

The television broadcasting industry has seen significant consolidation over the years with the number of significant broadcasters reduced to about four to five from double digits about a decade ago.

In the cinema exhibition business, consolidation occurred with the advent of multiplex chains in the early 2000s. Initially, India had